TERM-2

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Fortune Institute of International Business (FIIB)
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International Business Environment

Individual Assignment

Strategic Dissonance Analysis
An Environmental Audit of an Indian SME

Submitted By
Name: Nikhil Kumar
Roll Number: 25PGDM243
Program: PGDM
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Table of Contents

S. No.	Particulars	Page No.
1	Introduction and Background	1
2	Contextual Pivot: Regulatory Barrier Analysis	2
3	Paradox of Choice: Exchange Rate Risk Evaluation	3
4	Cultural Friction: Trompenaars Framework Application	4
5	Conclusion and Key Insights	5

01 | Introduction

Madhubani is also popular with its traditional painting design and handicraft goods, which are mostly known. not only are culturally important but are also economically important to many artisan families and small businesses. in the region. Some of the handicraft entrepreneurs have begun to consider markets outside the local markets over the years. exhibition or export order to foreign customers. In this assignment, I engaged the owner of a small handicraft company known as Shree Mithila Handicrafts, that creates conventional Madhubani paintings and decorative craft products. The products are sold normally at craft exhibitions or by local distributors however over the recent years the business has. also began to get small international orders. In the interview, the businessman mentioned a case involving an export business from a customer in Dhaka, Bangladesh. Whilst the rules, financial risks and style of communication.

The insights presented in this report are based on a direct interaction with the entrepreneur, making the analysis grounded in primary data rather than secondary sources.

This scenario exemplifies the concept of strategic dissonance wherein assumptions that were made in the domestic business. environment is not quite in line with the realities of the international markets. The case shows that the exposure of entrepreneurs to new institutional and even minor export deals can lead to considerable losses. cultural complexities.

Over the recent years, there has been a growing demand of traditional handicrafts by international customers due to their attraction. increasing demand of craft and culturally unique items. The handicraft export of India has broken the benchmarks of several billion dollars per year, as the world market of handicraft was well-to-do. traditional crafts. Nevertheless, the situation with international trade is unpredictable because of the disruption of logistics and the alteration of the world. demand patterns. These factors turn international expansion not only to be very expensive but also to be impossible to afford by small business and other enterprises based on artisans. opportunity and a challenge

Regulatory Barrier

During the interaction, the entrepreneur explained that one of the first difficulties occurred during the export documentation process. Since the order involved handmade paintings, the exporter initially believed that the normal export documentation used for handicraft shipments would be sufficient. However, when the shipment process began, the buyer informed him that additional product information and documentation were required by local import authorities.

The importer requested details such as:

- clear country-of-origin labelling
- explanation of the materials used in the artwork
- additional documentation required during customs clearance

In particular, the importer highlighted the need for proper **country-of-origin certification and detailed product classification under customs (HS code)**, which were not initially prepared by the exporter.

Because these requirements were not initially anticipated, the shipment process experienced delays while the documents were arranged.

This situation can be explained through the concept of Liability of Foreignness, which suggests that firms entering foreign markets often face disadvantages because they are unfamiliar with the host country's regulatory environment. From what I have observed in the handicraft ecosystem around Madhubani, many small entrepreneurs focus primarily on the artistic and production aspects of the business. Export documentation, certification requirements, and international compliance are often learned gradually through experience rather than formal training. As a result, the first few international transactions can involve unexpected regulatory hurdles.

This resulted in a delay of several days in shipment clearance, increasing uncertainty and coordination costs for the small business.

Exchange Rate Dilemma

Another issue mentioned during the conversation was the uncertainty created by exchange rate fluctuations. The handicraft order from the Bangladeshi buyer was priced in US dollars, the approximate value of the order was around $2,000, and during the payment period, the exchange rate fluctuated from nearly ₹82/USD to ₹83/USD, slightly affecting the final revenue received by the exporter meaning that the final earnings depended on the exchange rate between the Indian Rupee and the US Dollar at the time the payment was received.

The entrepreneur clarified that despite the fluctuation in the exchange rate at the time of this transaction was comparatively, the exchange rate has undergone transformation. even minor, such changes may influence profits, particularly of small businesses whose margins are low. Financial theory forward contracts or money are some of the tools that companies can use to manage the exchange rate risk. market hedges. Nevertheless, small exporters in use of these financial instruments are infrequent according to the entrepreneur. practice.

Due to the relatively small size of the transaction and limited access to formal financial tools, the exporter was dependent on its good relationship with the buyer and negotiations on the possible. adjustments made informally when changes in exchange rates had a major impact on the transaction. This is a typical example of a small business where trust and long- term relationships are factored in. a major contribution to risk management. As it can be seen, a large number of small entrepreneurs are more inclined to use practical and relationship based solutions, not instead. complicated financial instruments particularly in situations where the size of the transaction is small.

This shows that while textbook hedging tools exist, they are often impractical for small entrepreneurs due to cost, complexity, and lack of awareness.

Negotiation Dynamics

The entrepreneur also described an interesting interaction during the negotiation process with the Bangladeshi buyer. To understand this situation from a theoretical perspective, it can be analysed using Trompenaars cultural dimensions theory, particularly the Affective vs. Neutral cultural dimension. Informal discussion is a common practice in Indian business settings as one tries to establish rapport. then caring about business particularities. The entrepreneur stated that in the initial online meeting he started by telling the cultural relevance. of Madhubani paintings and the manner in which they are traditionally made by craftsmen in adjacent villages. One of the remarks made during the conversation, according to him, went as follows:

Entrepreneur: These paintings are custom-crafted and every design is culturally significant. Most of the families in this area have been practicing this art form over generations.

Purchaser: That is interesting. We should also refer to the product description and delivery time so that we can conclude the order.

The buyer seemed to take a more organized and business-oriented approach at the onset of the discussion. This first produced a minor difference in the style of communication. But when the discussion turned to the artistic background and the story behind the paintings in terms of culture, the consumer was more involved and interested.

The negotiation later on went easier and the order was made. The emotional narrative regarding the art form was useful in establishing buyer-seller trust in this instance.

This interaction reflects the contrast between India's **affective communication style**, which emphasizes emotional connection and storytelling, and the relatively **neutral, task-oriented approach** of the buyer.

Conclusion

The discussion with the handicraft entrepreneur provided valuable insights into the real challenges faced by small businesses when entering international markets. The case clearly demonstrates how strategic dissonance can occur when domestic assumptions are applied to foreign market environments. The firm encountered regulatory barriers because it underestimated the documentation requirements in the importing country. Exchange rate uncertainty created financial risk, which was managed through relationship-based trust rather than formal financial instruments. Finally, differences in communication style during negotiation highlighted the importance of cultural understanding in international business.

Overall, this experience shows that international expansion for small businesses requires more than just finding foreign buyers. Entrepreneurs also need to gradually develop awareness of regulatory systems, financial risks, and cultural dynamics when operating in global markets.

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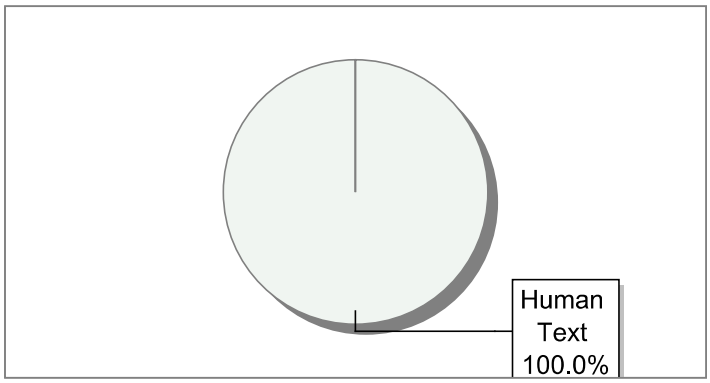
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